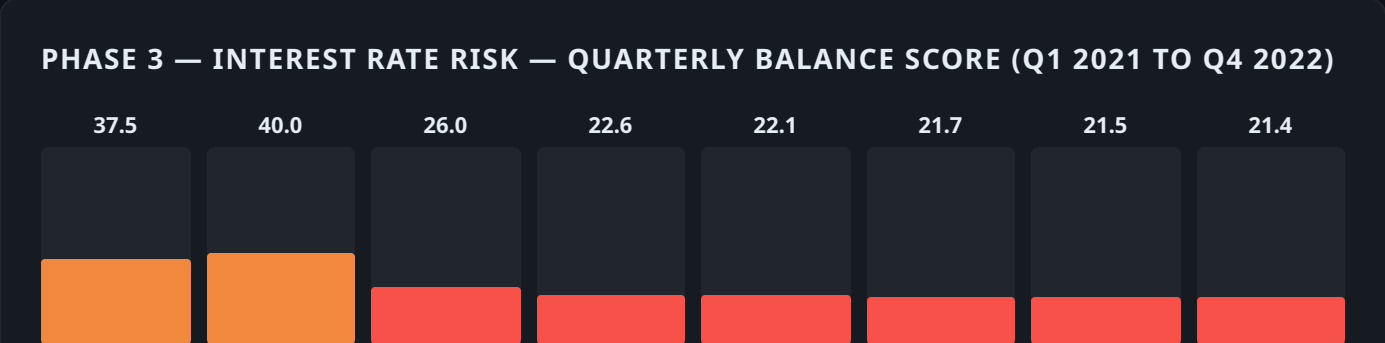
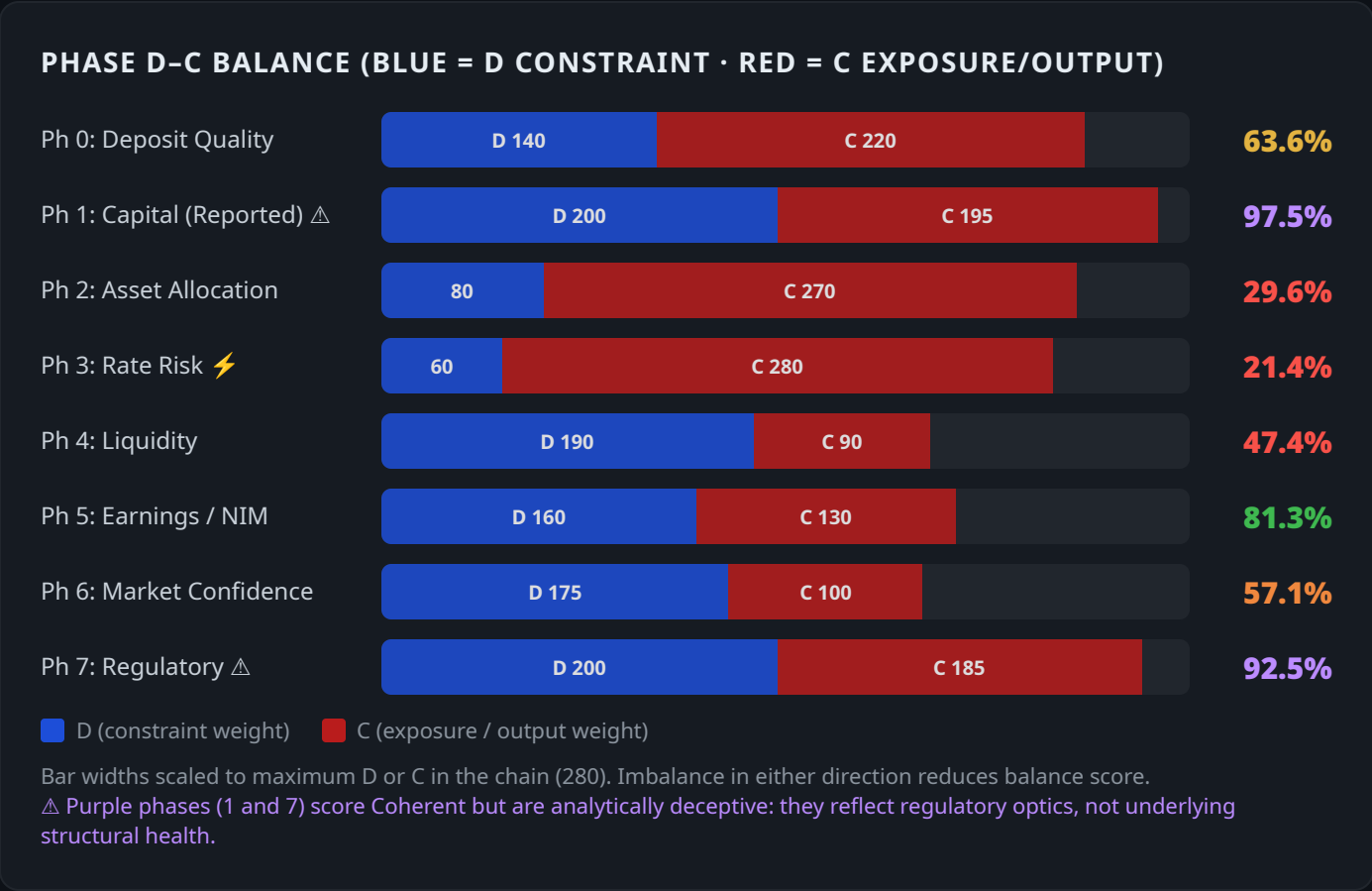




 **Primary failure origin: Phase 3 (Interest Rate Risk) — 21.4% balance.** Interest rate hedges dissolved in mid-2021. \$91B HTM bond portfolio accumulated with no offsetting constraint. Phase 3 entered Breakdown in Q3 2021 and remained there for 6 consecutive quarters. Standard regulatory metrics (CET1, CAMELS) showed green throughout this period.



Q1 '21	Q2 '21	Q3 '21 ⚡	Q4 '21	Q1 '22	Q2 '22	Q3 '22	Q4 '22
Hedges partially in place	Hedges being removed	Breakdown threshold crossed. Model alert.	Sustained Breakdown	Fed begins hiking	Deposits outflowing	Ph 4 also in Breakdown	Final pre-failure quarter

Breakdown threshold: 38.2% ($1 - \phi^{-1}$). Phase 3 crossed this threshold in Q3 2021 and remained below it for all six subsequent quarters through Q4 2022. The bank run occurred in March 2023 (Q1 2023). Detection window: 18 months.

FIVE-MODEL COHERENCE — SVB Q4 2022

π 61.3% Chain average balance. At the coherence boundary. 4 phases below threshold.	ϕ 38% Value distribution severely skewed: reporting phases coherent, operational phases in Breakdown.	$\sqrt{2}$ 30% Structural absence: no hedging, no duration limits, no deposit concentration limits applied.	$\ln 2$ 45% Capital transformation blocked: locked in low-yield bonds while cost of funds rose.	e 12% Financial instruments not linked to risk: hedges dissolved, no performance-linked instruments in place.
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DATA SOURCES

FDIC Call Reports — SVB Financial Group, Certificate 24735, quarterly 2019–2022. Public, no registration required. `banks.data.fdic.gov/api/financials?filters=CERT%3A24735`

SVB Financial Group 10-K (2020, 2021, 2022) — SEC EDGAR. Provides HTM/AFS portfolio composition, unrealized losses, hedge status, NIM, deposit composition.

Federal Reserve Board Review of SVB Supervision (April 2023) — Public report on supervisory failures, CAMELS rating history, exam escalation gaps.

FDIC Supervisory Insights: SVB Failure (2023) — Public post-mortem on resolution process and deposit recovery mechanics.

SVB Investor Day Materials (2022) — HTM portfolio duration, yield disclosure, funding strategy.

Moody's Rating Actions — December 2022 review for downgrade. Public rating action press release.